

Policy Brief: Socioeconomic Vulnerability and Crisis Resilience in Pakistan

Evidence From COVID-19 Household Impacts and Model-Based Vulnerability Assessment

Key Empirical Findings

This analysis shows that socioeconomic stress during COVID-19 was not evenly distributed across Pakistan but clustered sharply across specific regions and occupational groups. Urban Sindh emerges as the most vulnerable area, with households experiencing income losses of 95–100%, high food insecurity, and comparatively lower education levels. The model performs especially accurately in this region, reflected in the highest F1 score (0.7868) and an 83% recall for food insecurity.

Across the country, informal and agricultural workers absorbed the most severe economic shock, often losing their entire livelihoods. Even within the formal employer–employee sector, income disruptions remained substantial, indicating that formal employment did not shield households from crisis-induced instability.

Although Urban Sindh, identified as the most vulnerable region, receives the largest share of aid, assistance is largely limited to cash transfers. This approach provides temporary relief but does little to mitigate long-term structural exposure. By contrast, large households (eight or more members) appear slightly more resilient, suggesting that extended family networks continue to serve as informal shock-absorbing systems.

Regions such as AJK and Gilgit-Baltistan show low predicted vulnerability and near-zero false negatives in food insecurity estimates. However, their limited economic diversification and geographic isolation make preventive investment necessary to avoid future risk. Finally, healthcare access varies only modestly across different vulnerable regions, yet the compounded stressors in high-vulnerability areas indicate the need for more targeted support.

Policy Recommendations

1. Develop Sector-Specific Social Protection Mechanisms

Agricultural and informal workers require dedicated instruments that reflect the volatility of their livelihoods. Priority actions include establishing emergency income-protection schemes, expanding subsidized or state-backed agricultural insurance, and introducing guaranteed minimum-earning arrangements during climate-related or humanitarian crises.

For the formal employer–employee sector, a mandatory crisis-contingency savings fund should be institutionalized. Regular contributions by employers and employees would create a protected pool of resources, distinct from insurance, that can be activated exclusively in periods of systemic disruption.

2. Implement Integrated, Region-Focused Intervention in Urban Sindh

Given Urban Sindh's consistently elevated vulnerability, the region demands a coordinated, multi-dimensional response. This should incorporate urban-sensitive food security programs, employment stabilization mechanisms, protections against mass layoffs, and accessible skills-development pathway, in order to mitigate long-term structural disadvantages.

3. Shift From Cash-Only Assistance to Capability-Enhancing Support

While cash transfers alleviate immediate hardship, they do not build resilience. Policy must therefore transition toward interventions that expand individuals' and households' adaptive capacities. Key measures include life-skills and financial literacy programs, support for micro-enterprise formation, and job-reskilling initiatives targeting urban low-income populations.

4. Invest in Preventive Strengthening of Low-Vulnerability but Structurally Marginal Regions

AJK and Gilgit-Baltistan should receive proactive investment despite their current lower vulnerability scores. Preventive food and nutrition programs, improvements in physical and digital infrastructure, and strategies for economic diversification are essential for reducing long-term fragility and safeguarding these regions against future shocks.

5. Reinforce and Institutionalize Community-Based Resilience Mechanisms

The relative resilience of large households highlights the importance of informal networks in absorbing shocks. Policymaking should therefore support community-based food-sharing initiatives, strengthen neighborhood welfare committees, and develop local resilience infrastructures such as community kitchens, emergency shelters, and neighborhood-level support hubs.

Social Relevance and Broader Implications

The empirical patterns uncovered in this analysis reinforce longstanding arguments within development studies, political economy, and resilience scholarship. Amartya Sen's capability approach provides a foundational lens for interpreting the concentrated vulnerability observed in Urban Sindh. As Sen argues, deprivation emerges not solely from low income but from the absence of substantive freedoms and institutional support (Sen, 1999). The acute exposure of urban households, marked by near-total income collapse, food insecurity, and limited educational attainment, reflects precisely the capability constraints identified by Sen.

The Income loss burden borne by agricultural and informal workers aligns with extensive scholarship on informality. Chen (2012), among others, documents how economies with large informal labor forces and weak regulatory oversight systematically produce livelihood insecurity and cyclical vulnerability. The patterns in this dataset therefore mirror structural conditions identified across the Global South rather than constituting aberrations: when workers lack legal protections, social insurance, and bargaining power, shocks translate directly into persistent livelihood instability. Notably, even workers situated within the employer–employee sector (typically assumed to have greater stability) faced large income

losses during COVID-19. This reinforces the argument of the informal sector's vulnerability that when regulatory environments are weak and labor protections thin, even formal employment alone does not guarantee security. In such contexts, all working populations remain exposed to systemic shocks, with limited bargaining power, inadequate contractual safeguards, and no institutional buffers to absorb economic disruption. Consequently, crisis-induced shocks translate directly into persistent livelihood instability across the labor spectrum, not only at the margins.

The observed resilience of larger households is similarly consistent with feminist political economy perspectives on social reproduction. Scholars such as Elson (1998) demonstrate that informal care networks often function as de facto welfare infrastructures in the absence of state provision. The relatively less food insecurity among households with 8 or more members supports their contention that resilience is socially produced, frequently through unpaid labor and cooperative support mechanisms that remain invisible in formal policy design.

These insights have direct implications for Pakistan's progress toward the Sustainable Development Goals (SDGs). Strengthening capabilities (SDG 1), improving access to nutrition and healthcare (SDG 3), formalizing labor and enhancing job security (SDG 8), reducing structural inequalities (SDG 10), and investing in inclusive urban governance (SDG 11) are mutually reinforcing objectives. Evidence from global development institutions indicates that countries that institutionalize social protection systems, expand labor formalization, and invest in human development experience more equitable and crisis-resistant growth (UNDP, 2022; World Bank, 2022). Addressing Pakistan's uneven vulnerability profiles is therefore not only a crisis-response imperative but a long-term development priority essential for economic stability, institutional resilience, and sustained progress toward the SDGs.

References

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